

Leading Global Transitions – A2 Assignment – Final Individual Assignment

Assignment Instructions:

Assignment Reference	LGT.Student Number.Jan25.A2
Due Date	20 March 2025
Word count (if applicable)	2,500 words excluding appendices
Weighting	60%
File Format	MS Word or PDF
Submission Details	Turnitin – instructions provided on Blackboard

Assignment Question:

Required:

1. Central banks see climate risk as potential financial instability risk and therefore as coming under their financial stability mandate.
 - a. Explain how climate risk can cause financial instability according to central banks.
 - b. Discuss whether central banks can be successful in preventing climate risk related financial instability when financialisation dominates corporate behaviour and can cause green bubbles in financial markets.

You should answer the questions above in maximum 750 words by using the insights from the following course readings. The first three readings relate to the Question 1.a and the remaining three readings relate to the Question 1.b.

1. Borio et al. (2022) "Finance and climate change risk: managing expectations", <https://www.bis.org/speeches/sp220607.pdf>
 2. NGFS (2019) *A call for action: Climate change as a source of financial risk*, (pages 4-19 only) https://www.ngfs.net/sites/default/files/medias/documents/ngfs_first_comprehensive_report_-_17042019_0.pdf
 3. Nauman, B. (2021) "'Green bubble' warnings grow as money pours into renewable stocks", <https://www.ft.com/content/0a3d0af8-7092-44c3-9c98-a513a22629be>
 4. Christophers, B. (2017) "Climate Change and Financial Instability: Risk Disclosure and the Problematics of Neoliberal Governance", *Annals of the American Association of Geographers*, 107(5), pp. 1108-1127
 5. Ertürk, I. (2020) "Shareholder Primacy and Corporate Financialization" in Mader P., Mertens, D. and van der Zwan, N. (2020) *International Handbook of Financialization*, Routledge, Oxon, London
 6. Ertürk, I. (2024) "Money and Green Economy: financialised solutions to the environmental problems" in Jager, J. and Dziwok, E. (2024) *Understanding green finance: a critical assessment*, Edward Elgar Publishing
2. Choose a public company -a company listed in stock market and publishes annual reports in English- and read the following sections in their last two annual reports: i) the statements by the chairman and the CEO to the shareholders/investors; ii) the remuneration packages of its top executives; and iii) the company's social responsibility (CSR), sustainability, and ESG (environment, social and governance) performance and its achievement of United Nations Sustainable Development Goals (UN SDGs). You should also research other publicly available sources on the

company's such activities. Then in maximum 1,750 words critically analyse whether the company is genuinely moving to a stakeholder value-driven company from a shareholder value-driven one or mostly providing a narrative without verifiable data and evidence to create a halo effect on its environmental and social responsibilities.

You are expected to use the insights from all following course readings in answering Question 2:

1. Hiss, S. (2013) "The politics of the financialization of sustainability", *Competition & Change*, 17(3), pp.234-247.
2. Jones, B. and Nisbet, P. (2011) "Shareholder value versus stakeholder values: CSR and financialization in global food firms", *Socio-Economic Review*, 9(2), pp.287-314.
3. Li, M. et al. (2022) "The clean energy claims of BP, Chevron, ExxonMobil and Shell: A mismatch between discourse, actions and investments", *PloS one*, 17(2), <https://doi.org/10.1371/journal.pone.0263596>
4. Mayer, C. (2021) "The Future of the Corporation and the Economics of Purpose", *Journal of Management Studies*, 58(3), pp.887-901
5. Pollman, E. (2022) "The Making and Meaning of ESG", *U of Penn, Inst for Law & Econ Research Paper*, (22-23), <https://ssrn.com/abstract=4219857>
6. Rosenzweig, P. (2014) Chapter 4 "Halos All Around Us" *The Halo Effect*, Simon & Schuster
7. Rosenzweig, P. (2014) Chapter 8 "Stories, Science and the Schizophrenic Tour de Force", *The Halo Effect*, Simon & Schuster

The following will be taken into consideration in marking your assignment:

- Comprehensiveness and accuracy of your use of the required readings, and the quality of research on the corporate event described in answering Question 1.
- Critical analysis of the chosen company using your own ideas and based on original research and the insights from the readings in answering Question 2.
- The relevance of the data and information on the chosen company's ESG and social responsibility performance and activities in answering Question 2.
- Presentational qualities of your paper- citation, bibliography, paragraphing, spacing, spelling, quotations etc.